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Industry seems to be more upbeat about growing their businesses now in the state. Is there a mood shift?

You are quite right in saying there is a mood shift among people, especially those who come from

of welfare to a means-tested, need-based system?

That sounds very nice in the dictionary of an economist, but you try and put that into practice, and you will find that those who get deprived, even though they may not need it, will shout the

shortages at one time in northern India.

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As the finance minister, what is your view on how much more the welfare state can expand?

I have inherited what might be called an obscene amount of public debt of over ₹8 lakh crore. We must think of imaginative solutions—maybe some off-budget approaches might be one which politicians are very wary of adopting because they are reluctant to take financial strategies which are a little different from the rest. This is a problem. Our political class is very conservative in its approach.

We must do much more deregulation and privatisation. We need to leverage our existing dead assets in a way to get the state budget into a healthy position. State finances are not healthy, and if we can turn them around, then we can create greater incentives.

One of the problems is that the previous government, in its twilight days, did something remarkably shortsighted and damaging. They not only ended all incentives which were given to industry, but they did it with retrospective effect. We are now burdened with a huge liability.

As a result, sooner or later we are going to get courts awarding huge amounts of damages. As it is, the courts have awarded huge amounts

to the Tatas for the Singur fiasco. They have awarded a huge amount to Haldia Petrochemicals. So, we have got to sort all this out.

Raising taxes is a retrograde method. I am a believer in the Laffer curve—the lower the taxes, the more you concentrate on compliance rather than anything else.

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What about rationalising taxes further, for example, on goods and services?

I have not attended my first GST Council meeting yet. I think simplification of GST is very important because in Bengal, it has become a lawyer's delight. And secondly, discretionary powers, which are still vested in a lot of officers, should not exist.

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Can Bengal become a growth engine for India once again?

Well, we certainly hope so. We want to and are trying our best to, at least, inculcate that sense of tradition in the youth, to say, "Look, you people are not anti-business. You have a rich tradition, a heritage of business."

And I think once that pride is inculcated, we hope we will see some results. Maybe if, in the next four years, we can register the highest growth rate in India, I think pride will return. **BT**

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108 |

the business community. They are very optimistic and say, "Look, our energies, our impulses have been suppressed for a very long time. We want to give vent to our creativity."

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How do you see the issue of joblessness and welfare state spending?

It is a monumental challenge. There are certain expectations, and a sense of entitlement. How do you move from what was called a universal system

loudest. And this is precisely what is happening in parts of the state. So, this is going to be a problem, and the more you give, the more demands to raise it. It is no longer linked to the fact that these are unemployment benefits or that these are people who need welfare. It is now become something which you get as a matter of right.

As a result, some industries are experiencing labour shortages, just as there were farm-labour